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# How does Crunch Culture and Mass Layoffs in the Video Game Industry impact developers and the industry's long-term sustainability?

Group Mind-Map Link - https://liveabertayac-my.sharepoint.com/:wb:/g/personal/2405290_uad_ac_uk/ET6sJWXe9H1AjVOa0HEFBqcBNklbfisa18oXgtHMhDT_rg?e=98DBnN

Crunch Culture Mind-Map Link - https://liveabertayac-my.sharepoint.com/:wb:/g/personal/2405290_uad_ac_uk/EfpWbjcM_OxGn2nQqI3nF7EBFE9IzPkQ5ya6PqFL_uKPkQ?e=Uu5qaw

## Introduction

The video game sector, while a major player in entertainment, has long been tarred by exploitative labor practices, most prevalent in crunch culture. The expectation that developers work unpaid overtime to meet deadlines (O'Donnell, 2014). Despite generating billions in revenue, major game companies routinely implement mass layoffs, often after periods of tremendous growth and profit (Fast company 2024) These issues underscore a systemic imbalance in industry labor conditions — the combination of corporate mismanagement, misguided short-term financial planning, and exploitative work expectations has led to an identities shelf-life (Nakamura, 2019) leading to an unstable employment landscape. This essay takes a critical lens on crunch culture and mass layoffs, exploring their economic and ethical implications, as well as their historical context and what reforms might be made to the industry in terms of  those issues.

## Understanding the term 'Crunch Culture'

Understanding Crunch Culture is the name for the extended periods of overtime (often unpaid) at which game developers suffer through to hit milestones on a project. In the industry, it has been normalized, with the practice being legitimized as part of the sacrifice required for artistic success (Woodcock & Johnson, 2019). The term emerged in the popular discourse following reports of Rockstar Games' crunch culture during the development of Red Dead Redemption 2 (Schreier, 2018). In a similar way, CD Projekt Red came under fire for its forced crunch during the still-problematic shipping of Cyberpunk 2077, despite claiming they would never do so (Polygon, 2020). Crunch culture has roots in the 1980s and 1990s, when small teams developed products under strict deadlines with few resources (Dyer-Witheford & de Peuter, 2009). As the industry

grew, corporate publishers and shareholders placed aggressive project deadlines, so crunch became the industry norm (O'Donnell, 2014). Now, both AAA and indie studios struggle under the weight of crunching when game development cycles grow, both with increasing complexity and cost (Sicart, 2013). Some game developers defend crunch as a passion-inspired necessity, but evidence indicates it comes at a high psychological and physical cost. Crunch has also been shown to cause burnout, anxiety, and depression among workers, according to mental health studies (Bulut, 2020). In addition, this oversimplification of unpaid work minimizes ethical concerns about workers' rights and fair compensation (Whitson, 2021).

**Why do Mass Layoffs Happen?**

The Economic Cycle of Mass Layoffs, in the face of record revenues, has been an ongoing problem in the video game industry. In 2023 and 2024, over 25,000 gaming jobs were lost across both years, affecting major publishers, independent studios, and industry veterans alike [Andrea Knezovic, 2025]. Why are there layoffs when profits are at a record high? One of the contributing factors to this situation is the increasing financialization of the industry, where executives prioritize investor confidence and shareholder value over long-term cost savings for the workforce (Nakamura, 2019). For instance, Activision-Blizzard has slashed jobs even while posting record earnings, under the cover of "restructuring," or "cost-cutting measures" (Gamespot, 2024) to soothe shareholders. The other problem is with the unstable project-based employment model. Because games take years to make, companies tend to overstaff during peak production periods, laying off employees when one of their titles ships (Kerr, 2017). Such a practice ensures job instability and promotes a non-sustainable career in the industry.

Mergers are also being blamed for mass layoffs. Microsoft's purchase of Activision-Blizzard resulted in multiple departments consolidating redundancies (GamesIndustry.biz. biz, 2024). In like manner, Embracer Group's fierce growth yielded closures of studios upon the underprediction of financial expectations (Fast Company, 2024). Executive Compensation is a possible culprit as workers are laid off, executive pay and bonuses are still out of line. In Gamespot (2024), Activision-Blizzard's CEO, Bobby Kotick, has faced backlash for continuing to receive multimillion-dollar bonuses while laying off hundreds of employees. This misalignment of corporate financial priorities raises questions about achievement exploitation in the games industry (Whitson, 2021).

**The Psychological Impact on Developers**

The psychological impact of the combination of crunch culture and mass layoffs on developers is devastating. Severe stress and burnout occur due to constant fear of job loss and extreme overwork (Bulut, 2020). According to a study on game development and mental health, over 70% of developers are under high levels of workplace stress, while many are battling chronic fatigue, anxiety, and depression (ScholarSpace, 2023). NetEase Games in December 2024 rolled out

layoffs within the Marvel Rivals Development team. Marvel Rivals, a team-based superhero shooter, was released, and over 20 million downloads across PC and consoles were recorded in the game's first three months (Esports Insider, 2025). Despite this commercial success, NetEase announced major layoffs affecting its North American development team, including game director Thaddeus Sasser (The Verge, 2025). This pattern is also true in the larger gaming industry, where periods of extreme crunch — a state in which employees work heavy overtime and face job instability — are typically followed by waves of layoffs. Developers of Marvel Rivals worked long hours ahead of launch, a widespread practice in the game industry (Schreier, 2018). However, following the release of the game and the conclusion of the heaviest developmental stage, many of these same workers were let go (Polygon, 2025a). Despite the game's massive financial success, the layoffs at NetEase were described as part of an "organizational restructuring" designed to "optimize development efficiency" (Esports Insider, 2025). This paradox—where a game is commercially successful, only for its creators to be laid off—illustrates the precariousness of employment in the gaming industry. Most companies work on a project basis, employing people when they are developing a product and then firing them when that product is launched. This leads to a volatile work environment and job insecurity (Kerr, 2017). NetEase's motions to dismiss important Marvel Rivals staff after its commercial success fits into the wider business practices of the industry: sucking workers dry until they break the crunch barrier and then when they're no longer seen as being in most need (Whitson, 2021).

**Labor Rights and Unionization Efforts**

Labor Rights and Unionization efforts have gathered speed in response to these exploitative conditions in the gaming industry. Campaigns such as Game Workers Unite and The Campaign to Organize Digital Employees strive for improved labor protections, reasonable wages, and the abolition of unpaid crunch (Whitson, 2021). In recent years, there have been successful company unionization efforts, including that of the employees of Raven Software (a subsidiary of Activision, 2022, Fast Company, 2024). Proposals and Industry Change Unionization and collective bargaining of video game workers is one of the most consequential moves to improve working conditions in the video game industry. Making unions stronger would empower developers with bargaining power where they can negotiate for fair wages, reasonable working hours, and even job security (Whitson, 2021). By requiring overtime and controls against arbitrary dismissals, union formation may prevent workers from being treated like indentured servants and materially reduce exploitation. In fields like film and TV, union contracts have effectively implemented enforceable limits on our working hours (Bulut, 2020), demonstrating the potential for the gaming industry to institute similar protections.

**Sustainable Development Models**

One of such reforms is the adoption of sustainable development models. Other studios, like Supergiant Games, have shown that there are ways to make successful games without resorting to crunch culture. These studios have adopted flexible development cycles to simultaneously create games of the highest quality and ensure the well-being of their employees (Polygon, 2020). Smaller, agile teams and long development cycles accordingly lessened dependency on mass-hiring followed by mass-layoffs, which lead to recovery -> boom and bust employment cycles (Sicart, 2013). Government standards and policy reform can also be imperative to solving the industry's labor challenges. Worker protections could be introduced on a macro level by governments, specifically for the gaming industry, in the form of laws regarding overtime pay and employment contracts that include job security clauses (Nakamura, 2019). These policies would address the challenge of ensuring that workers are compensated in accordance with their time and efforts while preventing exploitative labor practices. Tax benefits for studios that don't lay people off may also provide monetary incentive for companies to operate under ethical employment models and sustain a consistent workforce (GamesIndustry.biz, 2024). Lastly ethical investment and corporate responsibility can also create positive change in the industry. In addition, investors and shareholders will need to hold gaming companies accountable for their labor practices and demand that financial prosperity not come at the cost of workers (Kerr, 2017). Consumers also help drive industry standards: Ethical consumerism can create economic pressure on studios to adopt fair labor policies. Just as a demand for sustainability has led corporations in many sectors to adjust their practices, consumer pressure for game developers to be treated fairly may push studios to embrace workers' rights (Fast Company, 2024). If these solutions—unionization, sustainable development practices, government intervention, and ethical corporate policies—were implemented, the video game industry could solve its workers' crises and create a more stable, ethical, and worker-friendly environment, and continue to thrive as a significant sector of the global entertainment economy.

**Conclusion**

At its root, crunch culture and mass layoffs are baked into the structural and financial frameworks of the video game industry. Workers in this age of record profits–overworked, insecure, and undergoing mental health crises. Layoffs are defended on the grounds that a company owes a duty to maximize return for shareholders (which doesn't seem to mesh at all with the reality of how a lot of investor fund vehicles work), and this has led to this cycle of exploitation that is so harmful to everyone in the long run. Unionization, ethical business models, and regulatory policies are potential solutions in themselves, but real reform would require industry shifts on corporate governance and labor rights. It has to measure that its most important asset, its workforce, is not only financially successful, of course it has to be, but in

health action too, if the industry has to be able to progress significantly it must recognize that the well-being of its workforce is just as important as its financial success.

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